THE ANNOUNCEMENT ROOM

What happened. Why it matters. What comes next.

ASX: CGF | CHALLENGER LIMITED

19 OCTOBER 2026 | TAKEOVER PROPOSAL

Daiichi Life makes a non-binding A$11.80 per share offer for Challenger

Challenger says it has received a conditional, non-binding proposal from TAL Daiichi Life Australia, a subsidiary of Daiichi Life Group, to buy the 79.5% of the company it does not already own through a scheme of arrangement. The Board is considering it. Challenger released its September 2026 quarter update at the same time.

A$11.80

Indicative price per share

The release does not say whether payment would be cash, shares or a mix

17.7%

Premium to one-month VWAP

Challenger's figure, against a VWAP of A$10.03. VWAP is volume weighted average price

79.5%

Of shares the bidder does not own

This implies it already holds about 20.5% (TAR calculation)

OFFER PRICE AGAINST REFERENCE POINTS (A$ PER SHARE)



Bars start at zero. Buy-back prices are what Challenger itself paid on Friday 16 October, the last session before the proposal was received after the close. They are not closing prices. The offer is about 19.3% above that day's highest buy-back price (TAR calculation).

WHAT THE 19 OCTOBER RELEASE REPORTS

- **Bidder:** TAL Daiichi Life Australia Pty Limited (TDA), a subsidiary of Daiichi Life Group, Inc.
- **Structure:** a scheme of arrangement that would lift TDA's ownership to 100%.
- **Conditions:** due diligence, a scheme implementation agreement on acceptable terms, approvals from various regulators, and a Board recommendation.
- **Timing:** received after the market close on Friday 16 October 2026 and announced on 19 October.
- **Status:** the Board is considering it. Shareholders need take no action and there is no certainty of a binding offer.

ALSO RELEASED: SEPTEMBER QUARTER UPDATE

- **Total sales:** A$4.4 billion, up 52% on the September 2025 quarter.
- **Fixed term sales:** A$2.2 billion, up 103%, including an A$750 million three-year note issue in July.
- **Net annuity flows:** A$1.1 billion, or 6.3% annuity book growth for the quarter.
- **Assets under management:** A$31.9 billion, up 5% for the quarter.
- **Fidante funds under management:** A$85 billion, down 5% for the quarter.

WHAT THE RELEASE DOES NOT SAY

It does not say whether A$11.80 would be paid in cash, shares or both, and it gives no total deal value. Using the 681.6 million shares on issue shown in Challenger's buy-back notice, A$11.80 would equal roughly A$8.0 billion for all shares (TAR calculation; the share count may not be current). It does not name the regulators, set a timetable, or say whether the Board will recommend the proposal. It is an indicative proposal, not an agreement.

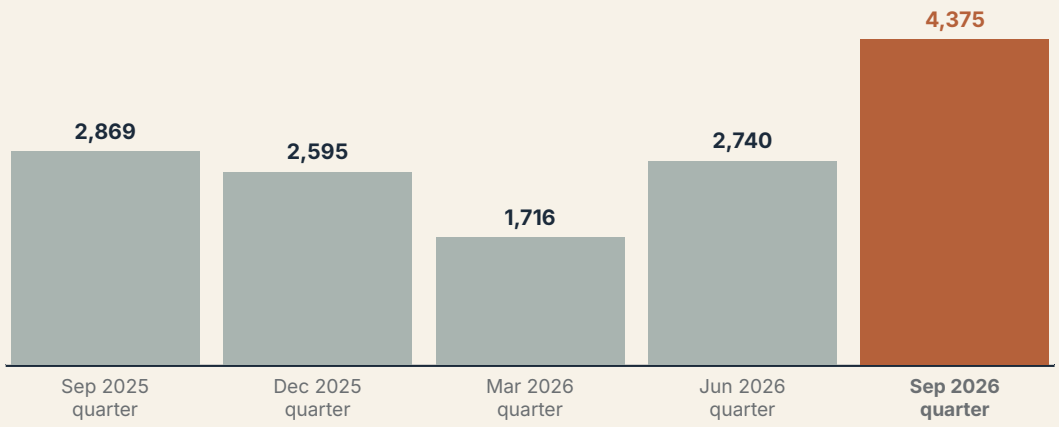
WHAT CHALLENGER DOES

Challenger describes itself as Australia's leading retirement income business, established in 1985. It runs an APRA-regulated life company that sells annuities, and it provides income solutions to institutional investors through its credit origination capabilities. It also owns the Fidante funds management business.

Sources: Challenger Limited ASX releases dated 19 October 2026: Indicative non-binding offer received; First quarter update; Appendix 3C buy-back update (all released before the 10:00 am open), retrieved via FinancialFilings. Percentages marked TAR calculation are derived from those releases. Market data is not included other than buy-back prices disclosed by the company.

An early-stage proposal arrives alongside a strong sales quarter

CHALLENGER TOTAL SALES BY QUARTER (A$ MILLION)



Bars start at zero. Total sales include annuities, Index Plus and LiFTS (Listed Floating Rate Term Securities). Source: Challenger first quarter update, 19 October 2026.

A$4.4bn

TOTAL SALES, UP 52% ON A YEAR EARLIER

Fixed term sales rose to A$2.2 billion from A$1.1 billion. They account for about 74% of the A$1.5 billion rise in total sales (TAR calculation).

Institutional fixed term sales of more than one year were A$1,316 million, against A$28 million in the September 2025 quarter.

READ THE QUARTER WITH ITS LIMITS

This is a sales and flows update, not a profit result. It gives no earnings, margin or capital figures. Sales have been uneven: A$1.7 billion in the March 2026 quarter, then A$4.4 billion now. Maturities and repayments on annuities also rose to A$1.7 billion from A$1.2 billion a year earlier, so net annuity flows of A$1.1 billion are what remains after those.

THREE DEVELOPMENTS INVESTORS SHOULD UNDERSTAND

01 The proposal is an early step CONDITIONAL

Challenger lists four conditions: due diligence, a scheme implementation agreement, approvals from various regulators, and a Board recommendation. Schemes of arrangement normally also need a shareholder vote and court approval, but the release does not set out that process. Challenger says there is no certainty any transaction will occur.

02 The sales lift was led by fixed term products REPORTED

Annuity sales rose 72% to A$2.8 billion. Offshore reinsurance sales rose 30% to A$320 million on demand for yen annuities in Japan, while lifetime sales slipped 2% to A$314 million. Annuity book growth was 6.3% for the quarter, compared with 2.5% a year earlier.

03 Other moving parts remain in play REPORTED

Fidante funds under management fell 5% to A$85 billion on A$3.3 billion of net outflows, mostly equity strategies. Challenger expects the Fidante and Channel Capital merger to complete later this half, leaving it with 45% of the merged business. Its buy-back notice says the buy-back needs APRA approval and can be varied, paused or ended at any time.

WHAT MANAGEMENT EXPECTS (NOT RESULTS)

- Fidante merger: later this half
- Challenger to own 45%
- FY27 maturity rate ~26%

These are company expectations from the 19 October update, not achieved results.

WHAT TO WATCH

Board response. Whether it engages, recommends or rejects, and whether a binding offer follows.

Price and payment. Whether A$11.80 holds, and whether it is cash, shares or both.

Conditions. Due diligence, an implementation agreement and the regulatory path.

Buy-back and Fidante. What happens to the buy-back, and completion of the Channel Capital merger.

TAR TAKE

Challenger has told the market it has a non-binding proposal at A$11.80 per share from Daiichi Life's Australian subsidiary, which appears to hold about a fifth of the company already. Nothing is agreed, and the form of payment, total value, regulatory path and Board view are not yet disclosed. The same-day update showed strong annuity sales and net flows, helped by large institutional fixed term deals. The next tests are the Board's response, whether a binding offer follows, and what the final terms look like.

Sources: Challenger Limited ASX releases dated 19 October 2026: Indicative non-binding offer received; First quarter update; Appendix 3C buy-back update, retrieved via FinancialFilings. Figures are in Australian dollars. Management expectations are not guarantees. Market data is not included other than buy-back prices disclosed by the company.